

Marvell Technology, Inc.

MRVL NASDAQ

Buy

\$258.84 ▲ 5.97%

12M Price Target
\$295.00

52-Week Range
\$70.69 – \$329.88

Market Cap
\$232.62B

MRVL: AI Custom Silicon Story Reignites, Bulls Charge In

WHAT HAPPENED

- MRVL ripped +5.97% to \$258.84, capping a five-day run from \$221 → \$258 (that's +17% in a week). The tape is telling you the AI custom-silicon narrative is back on — Broadcom got an "AI opportunity bigger than the stock" writeup this morning, and MRVL is the #2 name in that exact trade. When AVGO gets bullish research, MRVL rides shotgun.
- Credo (CRDO) news on 1.6T optics is actually indirectly bullish for MRVL — they compete in optical DSPs, and Wall Street chatter about the optical connectivity market getting bigger validates MRVL's data center interconnect segment.

WHY IT MATTERS

This move is not random — it's the market re-rating MRVL as a genuine AI infrastructure name, not just a networking chip company. The stock is now at 73% of its 52-week range after nearly quadrupling off the \$70 lows, which tells you sentiment has flipped from "custom ASIC story is dying" to "hyperscalers need second sources for silicon." Politically, this dovetails with the Trump administration's AI Action Plan and continued CHIPS Act disbursements — the White House wants US-designed silicon for federal AI buildouts, and Marvell is a direct beneficiary since its Amazon Trainium and Microsoft Maia work is US-based design IP. Watch for: if hyperscaler capex guides go up again in Q3 earnings (Oct-Nov), MRVL punches through \$280 easily.

POLICY & POLITICAL WATCH

Two things to keep eyes on: (1) The pending expansion of Section 232 semiconductor tariffs — Commerce is finalizing rules that could hit foreign-fabbed chips, and while MRVL uses TSMC, they qualify for domestic-design carve-outs which advantages them vs. pure imports. (2) Export controls on advanced AI chips to China are still tightening — MRVL derives ~40% of revenue from China historically, so any escalation is a real headwind, but the market seems to be pricing this as "already known." The CHIPS Act 2.0 discussions in Congress (design credits, not just fab credits) would be a direct positive if they get traction — Marvell's fabless model benefits massively from any design-side subsidy.

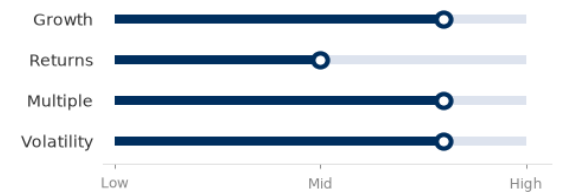
IS IT EXPENSIVE?

At \$232B market cap on ~\$8.3B revenue, you're paying about \$28 for every \$1 of sales — that's rich, roughly in line with AVGO but well above NXPI or ON at \$5-7. On forward earnings you're at ~120x, which only works if EPS grows 50%+ annually for the next two years. Justified? Only if the custom AI silicon revenue ramps to \$4B+ by FY27 like bulls model — if it does, the multiple compresses fast and this stock is cheap in hindsight; if hyperscalers pull orders, the air pocket below is brutal.

Key Data

Price (USD)	\$258.84
12M Price Target	\$295.00
Upside / (Downside)	+14.0%
Market Cap	\$232.62B
FY2026E Revenue	\$8,250M
FY2027E Revenue	\$10,800M
FY2026E EPS	\$2.15
FY2027E EPS	\$3.10
Fwd P/E	120.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$285.00	\$265.00	\$230.00
6 Months	\$330.00	\$285.00	\$210.00
1 Year	\$380.00	\$295.00	\$195.00
2 Years	\$460.00	\$340.00	\$180.00
5 Years	\$650.00	\$450.00	\$150.00
10 Years	\$900.00	\$550.00	\$120.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+2.39% today, +5.35% this week) and Comm Services (+3.80%) — this is the AI capex trade in full swing, powered by continued federal AI infrastructure spending and the administration's stated goal of US AI dominance.

COOLING OFF: Real Estate and Industrials are lagging — money is flowing OUT of rate-sensitive and cyclical value INTO growth/AI. Classic risk-on rotation.

ROTATION WATCH: Cash is moving from defensive tech (software, cybersecurity) into AI hardware/semis because the earnings visibility is now clearer here than in SaaS. MRVL is a prime destination for that rotation.

RELATED PLAY: If MRVL's ramp is real, ALAB (Astera Labs) and CRDO benefit from the same data center interconnect buildout — smaller, more volatile, but higher beta to the same theme.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Custom AI ASIC leader for Google TPU — got fresh bullish research today framing the AI opportunity as underappreciated, dragging MRVL up with it.
- NVDA (Nvidia): Still the reference stock for AI demand; when NVDA holds up, MRVL customers keep spending on the surrounding silicon Marvell provides.

MRVL CONTEXT: MRVL is LEADING its immediate peer group this week (+17% vs SOXX ~+5%). That's a re-rating, not just beta. When a stock outperforms its sector by 3x during a sector rally, it usually means specific institutional accumulation — consistent with the 81.8% institutional ownership signal.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$235-245 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Loss of Amazon Trainium or Microsoft custom ASIC socket, or hyperscaler capex cut >15%

Hedging: Pair with short AVGO or long SOXX puts to isolate MRVL-specific alpha